

so far, those of cash-rich corporations with the least outstanding debt have the best chance of proving safe through the coming depression. It will still be prudent to assess the nature of each company's business to determine if it is likely to maintain an acceptable level of sales under such conditions. Bonds of such companies will prove safer than those issued by the majority of governments.

Foreign Government Bonds

The criteria for choosing bonds, notes and bills issued by foreign governments are similar to those for selecting bonds issued by corporations. The depression will negatively impact tax receipts around the world, so most governments will be under intense scrutiny, and for awhile at least, will experience skepticism over their ability to service and pay back debt. The safest foreign debt paper will be that issued by countries with the least debt, the most solid economic bases, and the soundest political structures.

These criteria leave very few candidates, but there are some. I decline to make a list for the same reason I decline to list corporate issues for safe investing: fortunes of companies and nations change, and that is never more the case than in the volatile environment of a worldwide depression. If you decide to go this route, you will have to choose your investments carefully and monitor the political environment of the issuing country, switching positions as events require.

Safe Debt Issues

The most important question bondholders can, and must, ask themselves is, "Is this issuer really safe?" By the end of the bear market, the list of those that ultimately default will be far longer than anyone today remotely suspects. Prospects for a contraction of Grand Supercycle degree make it questionable whether *any* safe debt can be identified in advance. Indeed, at the worst point in the bear market half a century from now, there may be no top grade debt except that backed by gold, a fiscally sound government, or a cash-rich international corporation whose business is such that it stays financially healthy in a time of depression and social conflict.

If throughout the crisis, a borrower is able unquestionably to guarantee a bond issue, either by depositing collateral gold in a trust account at a safe bank, presenting a picture of impeccable corporate health, or by pledging a strong tax base, then the interest rate on that issue will be near zero. However, those who would be able guarantee their debt to that degree in the coming environment will have the least need to borrow money. Thus, there will not be large issues